

Circular S-02 — Ransomware Resilience and Mandatory Backup Controls

Reference:	FRA/S/2025/002	Issue Date:	10 Mar 2025
Effective Date:	01 Jul 2025	Response Deadline:	31 May 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Threat Landscape

Ransomware attacks on financial institutions have increased 340% since 2022. This circular mandates minimum resilience controls to ensure firms can recover critical systems within defined Recovery Time Objectives (RTOs) without paying ransoms.

2. Backup Requirements

Firms must maintain immutable, air-gapped backups of all critical systems and data. Backups must be encrypted and tested monthly. Recovery must be achievable within: 4 hours for core banking systems; 8 hours for payment systems; 24 hours for all other systems. Backup integrity must be independently verified quarterly.

3. Segmentation

Network segmentation must prevent lateral movement of malware. Critical systems must be isolated in dedicated security zones. Zero-trust architecture must be implemented for all privileged access to critical systems by 1 Jul 2025.

4. Tabletop Exercises

Annual ransomware tabletop exercises involving senior management, IT, legal and communications teams are mandatory. Exercise reports must be submitted to the Authority within 30 days of completion.